

MARKET SURVEY:

Telecommunications: Towards Consolidation



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The Indian telecom sector has undergone many changes in recent years. These can be attributed to the easy availability of low-priced devices, aggressive network coverage and affordable services. The deployment of 3G network in India also facilitated development of the broadband market. There has been continual improvement in the overall

tele-density (number of telephones per 1000 people) in the country. There is no doubt that telecommunication is the lifeline of the rapidly-growing information technology industry in India.

In the telecom sector, there are two conflicting objectives—maximising revenues to the government and ensuring healthy growth of the industry. It is not a wise decision to give away a scarce natural resource at a cheap price to a business entity. Any undue importance given to the objective of maximising profits can ruin the industry. For instance, at the auction of 3G spectrum, companies paid exorbitant amounts, which is why they are still struggling with debt. In this tug of war, efficiency has been skirted and we find deterioration in service-quality parameters. We should see that efficiency becomes the basis for spectrum pricing.

Significant progress

The national telecom policy (NTP) 1999 aimed at making India competitive in the global telecom market through growth in exports, FDI and domestic investment. Its major objectives include telecommunication for all and within the reach of all, achieving universal service across all villages, global standards in the quality of service, emergence of India as a major manufacturing base and a major exporter of telecom equipment, and protection of the country's security interests.

Between 1999 and 2011, the mobile subscriber base increased from zero to 893 million, with cellular operators adding ten to 15 million new subscribers every month. As a result, over-all tele-density reached the 76 per cent mark.

